 Name _____

Walmart: Reading the Real Financial Statements

From Walmart's Form 10-K for the fiscal year ended **January 31, 2025** (some lines combined). Fill in the blanks **A–L**.

Walmart Inc.
Consolidated Statement of Income
(Amounts in millions)

		Fiscal 2025
Net sales	$	674,538
Membership and other income		6,447
Total revenues	A	**680,985**
Cost of sales		511,753
Operating, selling, general & admin. expenses		139,884
Operating income	B	**29,348**
Interest, net		2,245
Other (gains) and losses		794
Income before income taxes	C	**26,309**
Provision for income taxes		6,152
Consolidated net income	D	**20,157**
Less: attributable to noncontrolling interest		(721)
Net income attributable to Walmart	$	19,436

Walmart Inc.
Consolidated Balance Sheet
(Amounts in millions)

		Jan 31, 2025
Cash and cash equivalents	$	9,037
Receivables, net		9,975
Inventories		56,435
Prepaid expenses and other		4,011
Total current assets	E	**79,458**
Property, leases, goodwill and other		181,365
Total assets	F	**$ 260,823**
Accounts payable	$	58,666
Accrued and other current liabilities		37,918
Total current liabilities	G	**96,584**
Long-term debt, leases and other		66,818
Common stock and paid-in capital		6,305
Retained earnings		98,313
Other equity, net		(7,197)
Total equity	H	**97,421**
Total liabilities and equity	$	260,823

HOW THE ACCOUNTS CONNECT

1. **Gross profit** = Net sales − Cost of sales I **162,785** **Gross margin %** = Gross profit ÷ Net sales J **24.1%**

2. **Purchases.** Inventories were 54,892 a year earlier. Beginning inventory + Purchases − Cost of sales = Ending inventory. How much inventory did Walmart buy this year? K **513,296**

3. **Retained earnings** were 89,814 a year earlier. By how much did they increase? L **8,499**
   Walmart earned 19,436, so why is the increase smaller?
   Part of the profit went back to shareholders as dividends (and share buybacks), which reduce retained earnings.

4. **Accounts payable** (58,666) is larger than **inventories** (56,435). What does that tell you?
   Walmart sells its goods before it has to pay its suppliers, so suppliers are financing its inventory.

Source: Walmart Inc. Form 10-K, fiscal year ended January 31, 2025 (SEC EDGAR). Combined lines: "Other equity, net" = accumulated other comprehensive loss (13,605) + noncontrolling interest 6,408; "Long-term debt, leases and other" includes a $271M redeemable noncontrolling interest.